



RAJULMAR

Textile

India's largest employer has been hit hardest by high interest rates, low domestic consumption and cancelled export orders. The sector has already seen layoffs to the tune of 7,00,000 jobs, both in the organised and unorganised sectors. It seems to be heading for worse.

51%

OF NEW JOBS TO BE CREATED ARE ALREADY CUT. LARGE-SCALE LAYOFFS ARE EXPECTED.

“ In my 42 years in business, I have never had to shut down capacity for lack of orders. ” S.P. OSWAL, *Chairman, Vardhman Group*

companies hired 9,48,563 people. Prior to the meltdown in October, the forecast for 2009 was an additional 9,75,313 employees. After the financial crisis and the spurt of bad news, these companies have cut their staffing requirements by over 30 per cent to 6,67,490. When taken cumulatively to represent the organised sector as a whole, the drop of 30 per cent triggered by overall pessimism, inflation, high cost of credit and global business outlook is perhaps the biggest slash in staffing seen this decade. Real estate, retail, IT, automobiles, hospitality and textiles are clearly the worst-affected sectors.

And this is just the tip of the iceberg as only the job cuts of the organised sector are being reported. It's much worse in the largely unreported unorganised sector. Take Jaipur, the

hub of the gems business which employs nearly half a million people. Because the US and EU account for over two-thirds of the gem and jewellery business, most units are reporting cancellations of export orders. Ditto in the textile business which employs the largest number of people. D.K. Nair, secretary-general of the Confederation of Indian Textile Industry, reports that over 7,00,000 people have already lost their jobs this year and 5,00,000 more could be laid off. "Mills are running three-four days a week only and are operating at 75 per cent or have reduced shifts."

It is not official yet but estimates peg the number of jobs lost in the last one year at nearly a million—in the organised and unorganised sector. Indeed, last month industry body Assocham released a study that stated:

Sectoral Projections

IT Enabled Services

Hit hard by global gloom, the sector may survive on domestic demand.

33%

Lower than planned hiring. May drop.

“ We are freezing recruitment. Wockhardt takes 200 people every year. Now, we will wait and watch. ”

HABIL KHORAKIWALA,
Chairman, Wockhardt

Education, training & consultancy
Booming sector now hit by slowdown although education is thriving.

20%

Drop in planned hiring for next year. Among the better-off sectors.

Banking & Financial Sector
Saved by the fact that 80 per cent of banking is with public sector banks. But the downturn has hit them all.

21%

Expected cut in hiring. Expect more layoffs.